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ITEM WISE EDITORIALS

51st WEEK



40 YEARS FOR CHINESE REFORMS

UPSC CSE – GS II

GS II ... International Relations



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NEWSPAPER EDITORIALS

... DISCUSSION

20th DECEMBER, 2018

3 Which cat will catch mice?



PRATAP BHANU MEHTA

Forty years after China's economic transformation began, that's the question

"EMANCIPATE THE MIND, seeking truth from fact, and unite as one to face the future." Forty years ago, Deng Xiaoping's credo laid down the guiding principle of the most astonishing transformations in modern history with these words, setting China on a path of unprecedented economic resurgence and great power status. China's economic transformation is attributed to a number of factors. There were background factors, for example the prior investment in human capital that allowed its workforce to be competitive. There was the long memory of the Cultural Revolution, that, for all its human catastrophe, probably had two unintended historical effects: it slowed the pace of modernisation, which allowed the Communist Party a long reign as the guardian of order, and flattened the social structure in ways that made reforms easier. Then there is the deft mixing of form and function that has always characterised the Chinese economy. Markets without conventional property rights, efficient dispute-settlement without traditional rule of law characteristics, opening without direct dependence, technology absorption but on its own terms and soon. China has been a story of institutional improvisation. The success is also credited to Deng's ability to pragmatism. It does not matter which colour the cat is, so long as it catches the mice; or the rehabilitation of the idea that getting rich is glorious and soon.

But pragmatism is too light a sensibility to capture what the Chinese experiment has been about. One can say that behind the "improvisation" lie at least three other objectives. The first is that, as Wang Hui, China's leading intellectual historian, has pointed out, China's path to development and what Chinese call "reform" is actually a long-term project. The contrast here is not so much between an ideological or dogmatic China pre-1978 and a pragmatic China post-1978. It is, more, that in the long arc of 20th century history, all of China's programmes have been provided by theoretical debates within the framework of Marxism-Leninism, on what the next move should be. Some have ended disastrously, like the Great Leap Forward, or the Cultural Revolution. Others, like Deng's reforms, have been a spectacular success, but it is not insignificant that they are seen as part of a uni-

form continuity. It would be too simplistic to boil it all down to pragmatism. A theory sets the objectives and content for pragmatism. Now China is struggling to articulate a new one.

The second precondition has been enormous state capacity. Again, if one were to look at the continuities rather than discontinuities of Chinese history, what stands out is not the improvisation. What stands out is the ability to move society through a mixture of coercion and ideological legitimacy. Of course, any complex society will have deep strains of resistance and disagreement. But the pragmatism makes sense only if you first have an instrument that can mobilise power in one direction or the other. The real mystery to be decoded is not China's economic success. It is the creation of a state and party structure that have survived the vicissitudes of conflict and failures that might have broken other states.

China has had its share of elite conflict, violence, even mass protest, but it has not quite rocked the structure of power in decisive ways. The state may make mistakes, even big ones, but its power to direct and redirect social and economic energy remains impressive. You could argue that post-Deng, this legitimacy was founded on delivering economic growth, an artificial power structure that was a unique combination of centralisation and decentralisation, merit and patronage. With economic growth slowing, and China entering a new era of centralisation, perhaps this legitimacy will be challenged. The need for enhanced surveillance and clamping down that we are seeing under Xi, the fear of greater dissent, might be seen as an emerging weakness of the Chinese state. But it is a state that is going to be more difficult to overthrow. Deng's pragmatism worked against a backdrop of a ruler who never weakened the state, the fatal mistake of reform programmes elsewhere.

But the third precondition has been the preoccupations with sovereignty. Sovereignty, as Salman Rushdie's recent book 'Hunted by China', again reminds us, is the single most important guiding thread in modern Chinese history. It is the bulwark against chaos, a precondition for maintaining independence from foreign meddling, and a signifier of national pride. For a while, China spoke eloquently of two antitheses of sover-

eignty: Globalisation and multiculturalism.

The latter, without full freedom of expression, was a form of window dressing, disguising the fact that China has always had difficulty with genuine cultural pluralism; sovereignty included a kind of cultural sovereignty subsuming, when necessary, alternative ways of being to the purposes of the Chinese state. We see an example of this currently in Xinjiang, by all accounts an unconscionable forced assimilation, and Hong Kong in finding out that one country many systems has its limits.

China's globalisation was genuine but it was selective. On critical instruments of state power, like technology for example, it charted its own strategy focused solely on building its own capabilities, rather than taking the easy option of allowing everyone in. Its globalisation was always clearly within a framework of national power, and followed its imperatives.

Forty years later, China now has the challenges of its success. It is at a crossroads. On theory: What is the next move China makes in its path to development under conditions of slower growth? On state capacity: There is little reason to doubt that the Chinese state is still powerful enough to ride through the contradictions of its development model. It has consistently surprised critics. In fact, it seems to use each crisis to strengthen state capacity, not weaken it, often against the freedom of its own citizens. But whether the current model of centralisation will rely on anything more than coercion and surveillance in the long run remains to be seen.

On sovereignty: China's strategy worked on the larger promise that the US would not fundamentally see its rise as a threat. Now that this myth needs to be shattered, China will have to rethink not its goals, but the means to achieve them. But will pragmatism triumph here or that ultimate non-pragmatic dogma of nationalism? Deng's transformation was, with all its faults, something that the world welcomed. Xi Jinping thought is something the world is a little more wary of. Which cat does he think will catch the mice?

The writer is a senior scholar at Ashoka University

UPSC CSE – GS II

GS II ... International Relations

India and its neighborhood- relations.



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The Indian **EXPRESS**
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20th December, 2018



3 Which cat will catch mice?

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There was the long memory of the Cultural Revolution that, for all its human catastrophe, probably had two unintended historical effects: It sowed the fear of disorder, which allowed the Communist Party a long rope as the custodian of order, and flattened the social structure in ways that made reform easier. Then there is the deft mixing of form and function that has always characterised the Chinese economy: Markets without conventional property rights, efficient dispute settlement without traditional rule of law characteristics, opening without abject dependence, technology absorption but on its own terms and so on.

China has been a story of institutional improvisation. The success is also credited to Deng's folksy pragmatism: It does not matter which colour the cat is, so long as it catches the mice; or the rehabilitation of the idea that getting rich is glorious and so on.

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But pragmatism is too light a sensibility to capture what the Chinese experiment has been about. One can say that behind the “experimentation” lie at least three other objectives. The first is that, as Wang Hui, China’s leading intellectual historian, has pointed out, China’s path to development and what Chinese colleagues call “self-correction” has actually been through theoretical debate. The contrast here is not so much between an ideological or dogmatic China pre-1978 and a pragmatic China post- 1978. It is, more, that in the long arc of 20th century history, all of China’s programmes have been preceded by theoretical debates within the framework of Marxism-Leninism, on what the next move should be. Some have ended disastrously, like the Great Leap Forward, or the Cultural Revolution. Others, like Deng’s reforms, have been a spectacular success. But it is not insignificant that they are seen as part of a single continuum. It would be too flippant to boil it all down to pragmatism. A theory sets the objectives and context for pragmatism. Now China is struggling to articulate a new one.

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The writer is vice-chancellor, Ashoka University

Reform @ 40

Four decades after China's **Deng Xiaoping** masterminded the "reform and opening up" policy, the Asian giant has become an economic superpower, only behind the U.S.

42: The country's GDP increased by 42 times between 1980 and 2017, expanding from \$305 billion to \$12.7 trillion

620 The number of dollar billionaires in China – the most in the world, according to Shanghai-based publisher Hurun Report

- Alibaba founder Jack Ma, a Communist Party member, tops the list, with his wealth at a whopping \$39 billion

1: China's rank as the world's biggest exporter

- Goods and service exports, the country's economic engine, were worth \$2.49 trillion in 2017.
- The value of Chinese exports was just \$21 billion in 1980



Deng Xiaoping

10.2%

The average growth rate in China's economy between 1980 and 2016

\$168 billion: The value of foreign investment that came into China in 2017, up from virtually nothing in 1980

\$216 billion: Chinese investment abroad in 2016

13.9%: The percentage of national wealth held by the richest 1% in 2015, up from 6.4% in 1980, as China became increasingly unequal

- Now, the poorest half of the population holds just 14.8% of the country's wealth, compared with 26.7% in 1980

5: The country's carbon emissions recorded a five-fold increase between 1980 and 2014, as the country's phenomenal growth came at a heavy environmental cost



1.39 billion: The population of China in 2017, up from 963 million in 1978, making it the world's most populous country

76 years: Average Chinese life expectancy in 2016, up from 66 in 1979

3.2%: Percentage of the Chinese population that was illiterate in 2015, compared with 22% in 1982

90 Chinese household consumption recorded an expansion by 90 times between the years 1980 and 2016, exploding from just \$49 billion to \$4.4 trillion

No one is in a position to dictate to the Chinese people what should or should not be done... We must resolutely reform what should and can be changed, we must resolutely not reform what shouldn't and can't be changed

XI JINPING



- It is 40 years of reforms after Deng Xiaoping took the decision.
- GDP in 1980, \$ 305 billion and in 2017, \$ 12.7 trillion, it increased 42 times.
- The number of dollar billionaires in China are 620, the most in the World.
- Alibaba Founder, Jack Ma tops the list with \$ 39 bn.
- China is the World's biggest exporter.
- The exports in 1980, just \$ 21 bn and now \$ 2,490 bn.
- Average growth rate is 10.2% in the Chinese economy between 1980 and 2016.



- The life expectancy increased from 66 to 76 years.
- Chinese household consumption expanded by 90 times.
- The value of FDI into the country is \$ 168 bn in 2017 compared to nothing in 1980.
- 13.9% is the percentage of national wealth held by the richest 1% in 2015, as against 6.4% in 1980.
- The poorest half of the population holds just 14.8% of the country's wealth, compared to 26.7% in 1980.
- Country's carbon emissions recorded five-fold increase between 1980 and 2014.



40 YEARS OF REFORMS IN CHINA!



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7 The greatness is in creation of state and party structure that survived the fall-out of conflicts and failures.

8 The pragmatism of Deng Xiaoping is resolve to never weaken the state.

9 National pride and maintaining independence from foreign meddling are the important traits.



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